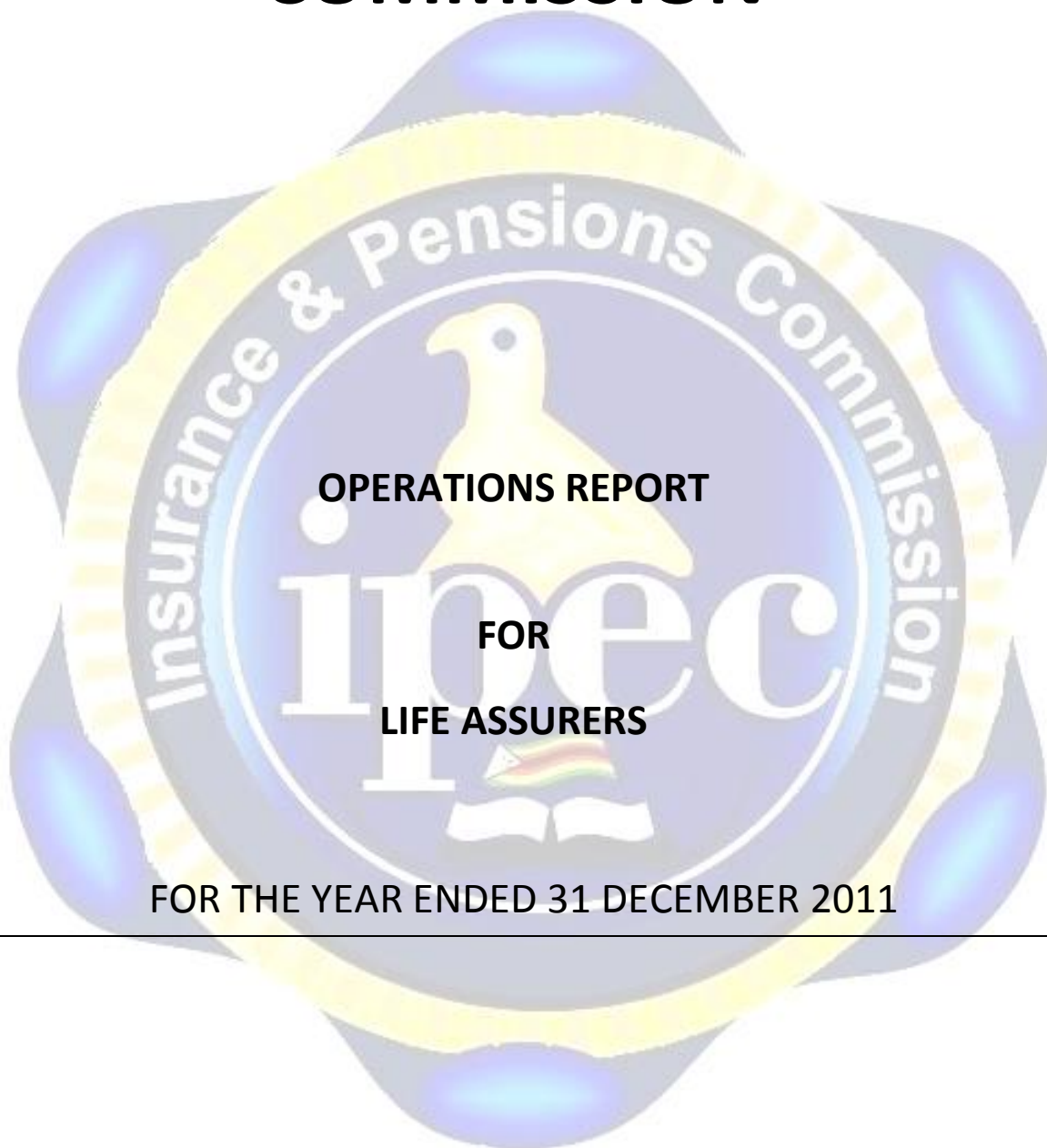


INSURANCE AND PENSIONS COMMISSION



OPERATIONS REPORT

**FOR
LIFE ASSURERS**

FOR THE YEAR ENDED 31 DECEMBER 2011

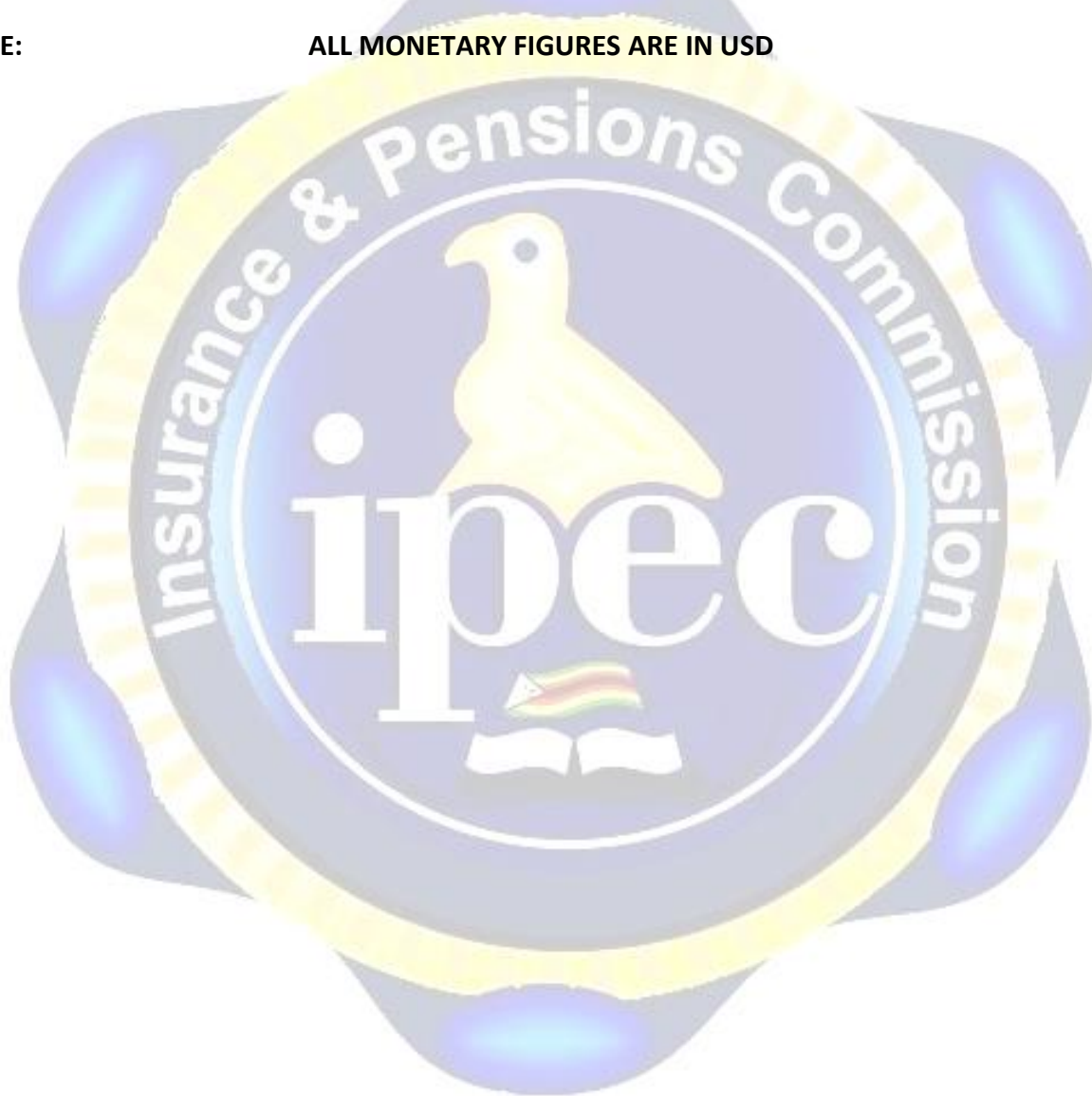
Contents

1.0	List of Acronyms and Abbreviations	3
2.0	Executive Summary.....	4
3.0	The Number of Life Assurance Companies	4
4.0	Business Written.....	4
5.	Capitalisation	8
8.0	Reinsurance and Retention	13
9.0	Claims.....	14
6.0	Investigations.....	11
7.0	Challenges.....	11
8.0	Additional Information.....	11
8.1.	Performance Indicators.....	11
8.2.	Premium Breakdown By Policy Type.....	12
8.3.	Other Capital and Assets.....	12
8.4.	Lapse Ratios, Surrender Values and Paid up Policies.....	13
8.5.	Agents Database.....	13
8.6.	Age Analysis.....	13
	Conclusion.....	13

1.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Q2	Gross Premium Written for the half year ended 30 June 2011
Q3	Gross Premium Written Year to Date Up to 30 September 2011

NOTE: ALL MONETARY FIGURES ARE IN USD



2.0 Executive Summary

The Commission is pleased to present the fourth Quarter Report for the year ended 31 December 2011 for the life assurance industry as one of its major offsite supervision mechanism.

Life companies reported varying growth rates with an average of 45%, a welcome sign of recovery from the recent recession we experienced as a nation in recent years. This was further buttressed by registering a positive combined ratio of 86% from 119% reported in the year ended 31 December 2010. This is indicative of an industry realizing underwriting profits.

Another positive development was the industry's compliance to the minimum capital requirements of \$500 000.00 as prescribed in Statutory Instrument 189 of 2009. As alluded to in our previous report, new capital thresholds are under consideration and are likely to be in tune with minimum limits prevailing regionally. Players are therefore advised to readjust their capital status upwards.

Reported figures show that life offices realized stagnant asset growth for the period under review mainly caused by falling stock market values and illiquid economic outlook. The twin scenarios led to subdued policy benefits, much to the disadvantage of the insuring public.

Regulated entities registered a 98% retention ratio. Informed by the depressed economic environment, there is need to spread risks to minimize failure in the event of unforeseen claim experiences and or catastrophes. IPEC encourages companies to retain risks relative to the size of their balance sheets. In the mid term, The Commission will address this anomaly through enforcing risk based capital models in line with best practices worldwide.

Based on the submitted returns, claims composition remained similar to third quarter figures with surrenders (40%), maturity (33%) and 16% were death claims.

3.0 The Number of Life Assurance Companies

This report is centered on the operations of 9 players.

4.0 Business Written

Table 1, below, shows that the industry realized \$148,3 million in gross written premiums up from \$99,8million for the nine months ending 30 September 2011. Reported figures indicated that players registered double digit growth for the fourth quarter ended 31 December 2011

which is a welcome indication of recovery despite low disposable incomes and the liquidity crunch which characterized the year.

The life assurance industry grew by 154% from \$58,5million generated in 2010 to \$148million reported for the year ended 31 December 2011. This shows the reemergence of policyholders' confidence in the industry post dollarization.

Table 1: Premium Distribution By Company for the year ended 31 December 2011

Name of Life Company	Sept 11 (USD)	GPW (USD)		Dec 2010 (USD)	Year on Year Growth (%)
		Dec-11	Growth (%)		
Altfin	3,145,938	4,176,053	33%	1,896,218	120
Evolution	1,811,943	2,349,622	30%	432,385	443
Fidelity	5,474,215	7,179,324	31%	4,852,970	48
FML	18,885,297	24,336,815	29%	13,992,086	74
IGI	645,919	869,847	35%	210,010	314
Old Mutual	58,745,797	93,329,577	59%	26,165,659	257
CBZ Life	492,844	1,633,581	231%	0	100
ZB Life	4,611,808	5,907,008	28%	4,958,214	19
Zimnat	5,995,677	8,542,237	42%	5,951,801	44%
TOTAL	99,809,438	148,324,064	45%	58,459,343	154%

4.0 KEY PERFORMANCE INDICATORS

Table 2 below illustrates the major performance indicators for the life industry for the year ended 31 December 2012.

Claims

The claims bill was \$86million or 69% of the total costs for the year ended 31 December 2011 compared to , a marginal improvement on 71% ratio as at the end of the previous quarter. Claims constituted \$24million or 35% of the overall costs bill realized in the year 2010. This scenario is indicative of the need for industry to embrace stringent risk management initiatives, manifested mainly in charging commensurate premium rates as opposed to cash flow underwriting, to ensure sustained viability.

Management Expenses

Operating expenses made the second biggest cost centre for life companies. For the year ended 31 December 2011, life offices paid \$34,9million or 27% of the total costs (\$125,3million) towards management expenses compared to \$24,3million spent as at the end of the prior

quarter leading to a quarterly net growth of 44% in total operational costs. Life companies, however, managed to cut back this expense by 19% from \$43million for the year ended 31 December 2010 to the current \$35million.

Commissions

Commissions contributed a paltry 4% (\$4,4million) to total costs for the period under review. Members are reminded to employ only registered agents as a major compliance issue, failure of which penalties will be imposed in terms of the Insurance Act.

Combined Ratio

Table 2, below, shows that there has been a persistent decline in the combined ratios from 119%(2010),97%(September 2011) to 86% realized in the current reporting period. This shows a sustained migration from negative underwriting results to technical a profit which is a welcome recovery indicator for the industry post dollarization. This scenario suggests an industry more likely to meet its claim obligations as and when they arise.



Table 2: Key Performance Indicators by Company for the year ended 31 December 2011

Co. Name	Net Premium Written(USD)			Claims(USD)					Commission(USD)				Management Expenses (USD)					Total Costs(USD)					Combined Ratio(%)		
	Sept 11	Dec 11	Dec 10	Sept 11	Dec 11	Var-%	Dec 10	Var-%	Sept 11	Dec 11	Var %	Dec 10	Sept 11	Dec 11	Var -%	Dec 10	Var (%)	Sept 11	Dec 11	%	Dec 10	Var-%	Sept 11	Dec 11	Dec 10
Altfin	2,855,214	3,746,939	1,896,218	755,985	353,100	47	1,348,863	74	234,245	341,030	-46	34,527	1,227,979	2,133,726	-174	796,210	-268	2,218,209	2,827,856	-112	2,975,810	-105	78	75	125
CBZ Life	492,844	1,633,581	-	2,912	34,912	-1199	-	-	41,907	171,846	410	-	294,095	695,651	-237	-	-	338,914	902,409	-266	-	-	69	55	-
Evolution	971,012	1,272,582	174,730	474,805	323,005	32	82,518	61	245,818	316,457	129	63,366	360,028	478,535	-133	113,197	-423	1,080,651	1,117,997	-103	259,081	-432	111	88	148
Fidelity	5,321,066	6,955,329	4,751,672	709,063	824,108	-116	591,524	-139	75,381	149,522	198	60,225	1,744,424	2,507,550	-144	2,679,311	6	2,528,868	3,481,180	-138	3,270,836	-106	48	50	69
FML	18,759,700	24,135,860	13,823,949	7,677,173	10,052,987	-131	2,052,530	-490	2,227,997	2,533,871	114	1,121,506	8,188,336	11,206,580	-137	2,167,764	-517	18,093,506	23,793,438	-132	5,341,800	-445	96	99	37
IGI	618,098	834,216	206,656	84,468	131,750	-156	1,617,620	92	71,293	105,711	148	34,491	554,872	694,119	-125	840,083	7	710,633	931,580	-131	2,492,194	73	115	112	1206
Old Mutual	58,589,283	93,090,464	26,131,523	51,956,788	67,004,102	-129	15,019,391	-446	157,441	281,757	-179	-	8,065,542	11,665,172	-145	31,126,033	63	60,179,771	78,951,031	-131	46,145,424	-171	103	85	177
Zb Life	4,525,919	5,788,374	4,908,330	3,987,037	4,544,258	-114	1,849,859	-246	164,805	273,420	166	165,248	2,143,594	2,981,377	-139	2,433,033	-23	6,295,436	7,799,055	-124	4,448,140	-175	139	135	91
Zimnat	5,678,756	8,079,125	5,266,064	2,050,883	2,791,431	-136	973,862	-287	168,464	239,388	142	95,362	1,689,834	2,507,645	148	2,818,869	11	3,909,181	5,538,464	-142	3,888,243	-142	69	69	74
TOTAL	97,811,892	145,536,470	57,159,142	67,699,114	86,059,653	-127	23,536,655	-365	3,387,351	4,413,002	130	1,479,363	24,268,704	34,870,355	-144	42,974,500	19	95,355,169	125,343,010	-132	68,208,910	-183	97	86	119

5. Capitalisation

Table 3 below shows that as at 31 December 2011, all players complied with the minimum capital requirements as per Statutory Instrument 189 of 2009. The Commission also takes this opportunity to remind players that discussions on the new capital requirements are now at an advanced consultation stage and are most likely to approximate regional thresholds. The industry is therefore encouraged to realign their balance sheets along similar lines.

Actuarial Reserves

Life companies maintained and or improved their actuarial reserves in line with our assertions in our previous quarterly reports (See Table 2 below). IPEC will shortly be consulting stakeholders with a view to map out and implement prudential guidelines on this critical compliance issue.

Retained Earnings

For the period under review, life offices reported retained earnings of \$102,2million up from \$92million for the third quarter ended 30 September 2011. This may be an indicator of players taking a long term view of the business as shareholders forego part of their dividends for purposes such as reinvestments in core business or to pay other obligations.



Table 3: Capital and Actuarial Reserves as at 30 September and 31 December 2011

Name of Co.	Issued Share Capital	Other Capital				Retained Earnings				Owners' Equity				Actuarial Reserves			
		11-Sep	11-Dec	Var - %	10-Dec	11-Sep	11-Dec	Var - %	10-Dec	11-Sep	11-Dec	Var-%	10-Dec	11-Sep	11-Dec	%	10-Dec
Altfin	542,000	0	0	0	0	4,328,790	4,408,033	2%	-352,240	4,950,033	4,950,033	187%	189,760	65,428	199,673	205%	-
CBZ Life	2,000	1,388,012	1,388,012	0%	0	-115,328	-208,047	80%	-	1,181,965	1,181,965	208%	0	120,026	891,755	643%	-
Evolution	23	1,777,712	870,365	-51%	771,068	190,826	228,910	20%	-5,655	1,099,296	1,099,298	279%	765,413	133,933	182,853	37%	317,914
Fidelity	1,185,317	1,089,233	1,089,233	0%	-	2,543,498	2,422,989	-5%	1,532,434	4,697,539	4,697,539	177%	3,806,984	11,757,863	12,039,051	2%	8,515,729
FML	501	2,606,200	2,606,200	0%	201	523,153	-771,235	-247%	3,404,014	1,835,466	1,835,466	270%	3,404,416	2,173,492	2,173,492	0%	30,576,434
IGI	1,680,000	0	0	0%	-	-5,311	-25,717	384%	25,504	4,283	1,654,283	38500%	51,503	110,395	110,395	0%	316,760
Old Mutual	131,844	29,990,000	29,990,000	0%	-	81,784,392	89,511,618	9%	73,597,963	119,633,462	119,633,462	193%	103,719,807	770,723,151	738,356,293	-4%	752,876,921
ZB Life	250,000	4,750,000	4,750,000	0%	4,750,000	-1,090,666	812,723	-175%	-1,251,160	3,909,334	5,812,723	240%	3,748,840	20,428,797	22,107,616	8%	19,055,243
Zimnat	50,000	400,000	400,000	0%	450,000	3,358,253	5,828,822	-42%	2,906,918	3,248,120	6,278,822	309%	3,356,918	16,928,449	19,264,943	14%	13,993,580
Total	3,841,685	42,001,157	41,093,810	-2%	5,971,269	91,517,607	102,208,096	6%	79,857,778	140,559,498	147,143,591	200%	119,043,641	822,441,534	795,326,071	-3%	825,652,581

*Other Capital includes reserves and share premium

6. Market Share by Asset Base

Stocks and Shares

Stock holding by life offices, as at 31 December 2011, contributed \$446,6 million or 45% of total assets(\$999,8million),a marginal fall from 47% or \$ 474,6 million as at the end of the previous quarter. There is a noticeable 6% decline in share holdings from the reported position as at 31 December 2010(See Table 4 below).This is attributable to falling stock values resulting partly from liquidity constraints.

Land and Buildings

The Life industry increased its investment holdings in the more stable property sector from \$388,6 million as at 30 September 2011 to \$397,1million as at the end of the current reporting period whilst registering a 5% annual growth from \$378,5million reported as at the end of the previous year. Land accounted for 40% of total assets as at the end of the review period.(See Table 4 and Figure 1 below)

Cash

Cash and near-cash assets accounted for 8% of total assets for life companies as at the end of the reporting period maintaining the position as at 30 September 2011..

Other Assets

The balance of 7% or \$73,4million of total assets held by life offices was invested in other assets. Members are reminded to disclose the precise components of this category.

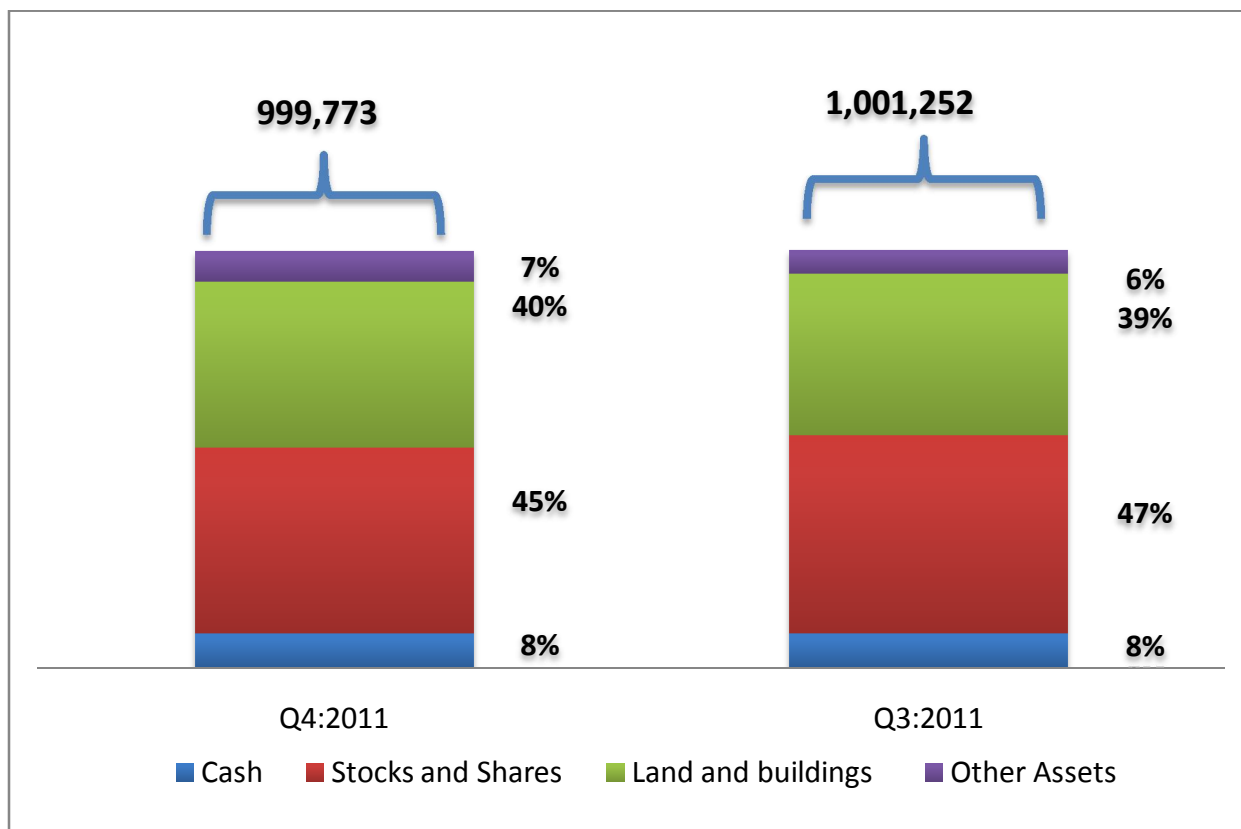
Prescribed Assets

Further to the requirement that life companies to invest 7.5% of their assets in prescribed assets, the Commission experts compliance in this regard as various paper has been floated as advised in association meetings and the press. Failure to comply with this requirement is in breach with the law and may attract penalties.

Table 4: Life Industry Asset Bases as at 30 September and 31 December 2011

Name of Company	Stock and Shares					Land & Buildings					Cash					Other Assets					Total Assets				
	Sep-11	Dec-11	Var - %	Dec-10	Var %	Sep-11	Dec-11	Var - %	Dec-10	Var %	Sep-11	Dec-11	Var - %	Dec-10	Var - %	Sep-11	Dec-11	Var - %	Dec-10	Var - %	Sep-11	Dec-11	Var - %	Dec-10	Var %
Altfin	2,794,718	2,912,863	4 %	1,740,561	67 %	685,000	685,000	0%	402,500	41 %	110,457	213,497	93 %	486,621	- 56 %	2,086,886	2,051,380	-2%	2,291,012	- 10 %	5,677,061	5,862,740	3%	4,920,694	19 %
Evolution	0	-	0 %	591,699	0 %	1,781,596	3,118,846	75 %		10 %	109,589	134,205	22 %	15,22678	1%	2,076,344	1,552,625	- 25%	587,077	16 4%	3,967,529	4,805,676	21 %	1,194,002	30 2%
Fidelity	4,746,314	4,428,440	- 7 %	2,906,860	52 %	3,942,906	4,092,033	4%	3,448,207	16 %	4,011,781	53,457	- 99 %	1,367,635	- 96 %	6,740,099	10,667,997	58%	8,063,417	32 %	19,441,100	19,241,927	- 1%	15,786,119	22 %
FML	33,528,168	34,664,694	3 %	37,382,573	- 7 %	0	-	0%		0%	2,215,374	1,829,220	- 17 %	748,999	14 4%	14,164,775	15,512,481	10%	11,891,934	30 %	49,908,317	52,006,395	4%	50,023,506	4%
IGI	78,101	38,234	- 51 %	300,000	- 87 %	211,650	511,650	14 2%	211,650	59 %	24,503	50,249	10 5%	55,225	- 9%	287,269	1,700,083	492 %	193,808	77 7%	601,523	2,300,216	28 2%	760,683	20 2%
Old Mutual	404,408,055	372,142,564	- 8 %	405,217,938	- 8 %	368,791,983	371,609,146	1%	362,438,850	2%	73,365,018	78,665,025	7%	59,129,038	33 %	22,349,231	29,131,600	30%	38,675,473	- 25 %	868,914,287	851,548,335	- 2%	865,461,299	- 2%
CBZ Life	0	-	0 %	0	0 %	0	-	0%	0	0%	1,404,487	120,293	- 91 %	0	0%	216,481	2,562,388	108 4%	0	0%	1,620,968	2,682,681	65 %	0	0%
Zb Life	19,187,118	22,717,818	18 %	17,762,911	28 %	2,924,000	3,214,549	10 %	2,923,999	9%	144,369	141,980	- 2%	115,218	23 %	3,171,855	3,438,256	8%	2,697,033	27 %	25,427,342	29,512,603	16 %	23,499,161	26 %
Zimnat	9,861,449	9,713,456	- 2 %	8,208,982	18 %	10,213,000	13,883,000	36 %	9,073,000	35 %	1,198,985	1,408,462	17 %	1,467,548	- 4%	4,420,600	6,807,131	54%	2,190,330	21 1%	25,694,034	31,812,049	24 %	20,939,860	52 %
Total	474,603,923	446,618,069	- 6 %	474,111,524	- 6 %	388,550,135	397,114,224	2%	378,498,206	5%	82,584,563	82,616,388	0%	63,385,510	30 %	55,513,540	73,423,941	32 %	66,590,084	10 %	1,001,252,161	999,772,622	0%	982,585,324	2%

Figure 1: Life Industry Asset Base for the year ended 31 December 2011(\$'000)

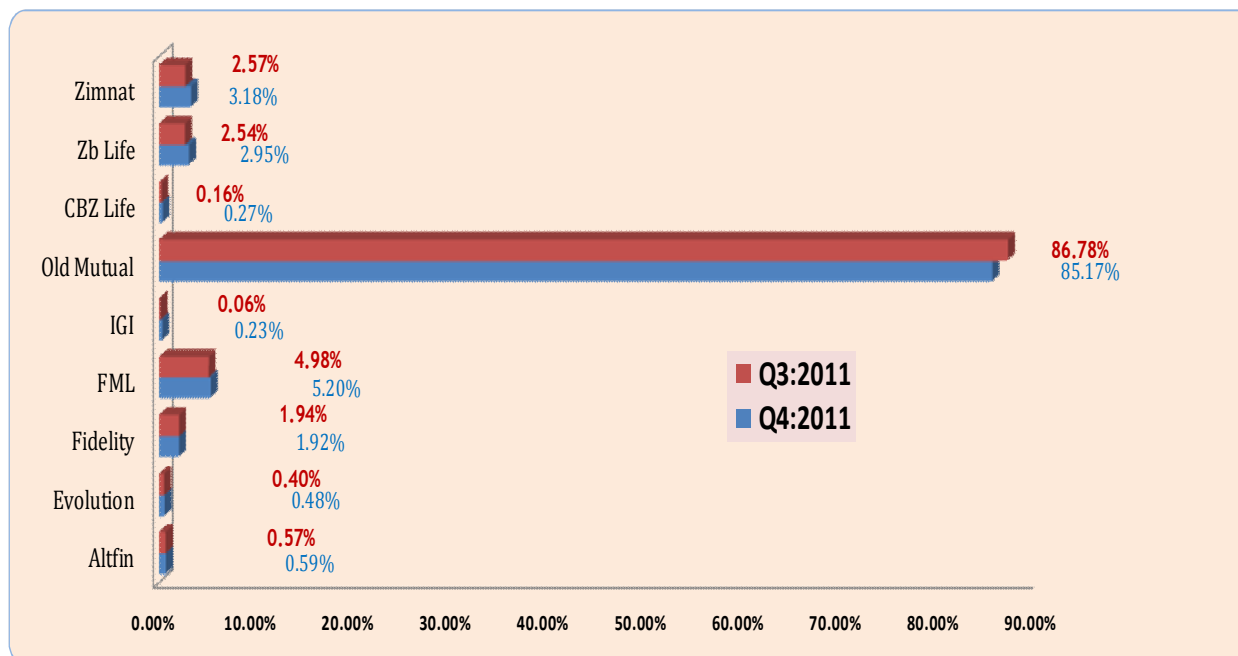


7. Market Share by Asset Distribution

Figure 2 below illustrates market distribution of assets by company as at the end of the current reporting period. The diagram is descriptive of an oligopolistic market where the top two companies control 90% of market assets. The Commission encourages players to improve on product innovation rather than compete on generic products which may have outlived their relevance. Given the above we see an opportunity and competitiveness in embracing micro-insurance, soon to be developed in our market.

There were invariably minor gains and losses among industry players from the last reporting period to the current period.(See Figure 2 below)

Figure 2: Total Assets Distribution by Company for the period ended 31 December 2011



8.0 Reinsurance and Retention

For the period under review, retention ratios by players revealed that industry is continuing in retaining all their books of business net to their balance sheets. The Commission requires players to retain risks relative to their balance sheet sizes and to spread any excess risks to reinsurers. This is critically important in order to minimize chances of failure to meet policy obligations as and when they fall due. (See Table 5 below)

Table 5: Reinsurance and Retention by Company for the Second and Third Quarter 2011

Life Company	GPW		Reinsurance		Retention Ratio (%)	
	Dec 2011	Sept 2011	Dec 2011	Sept 2011	Dec 2011	Sept 2011
Altfin	4,176,053	3,145,938	429,114	290,724	89.72	90.76
Evolution	2,349,622	1,811,943	1,077,040	840,931	54.16	53.59
Fidelity	7,179,324	5,474,215	223,996	153,149	96.88	97.2
FML	24,336,815	18,885,297	200,955	125,597	99.17	99.33
IGI	869,847	645,919	35,631	27,821	95.90	95.69
Old Mutual	93,329,577	58,745,797	239,113	156,514	99.74	99.73
CBZ Life	1,633,581	492,844	35,631	27,821	97.84	94.36
Zb Life	5,907,008	4,611,808	118,634	85,889	97.99	98.14
Zimnat	8,542,237	5,995,677	463,113	316,922	94.58	94.71
Total	148,324,064	99,809,438	2,823,227	2,025,368	98.10	97.97

9.0 Claims

Table 5 below illustrates that the industry's claims bill was \$86,8million as at 31 December 2011, a 27% increase from the previous quarter. Claims composition was virtually unchanged as death claims constituted 16%, maturity (33%), and surrenders(40%) for the period under review compared to death(15%),maturity(34%) and surrenders contributing 41% respectively from the last reporting period. The Commission notes with concern than the bulk of the claims were surrenders which is more likely to be related to cash flow challenges as a result of the liquidity crunch.



Table 6 : Claims Statistics per player as at 31 December 2011

	Dec 2011	Sept 2011	Dec 2011	Sept 2011	Dec 2011	Sept 2011	Dec 2012	Sept 2011	Dec 2011	Sept 2011	Dec 2011	Sept 2011	Dec 2011	Sept 2011	Dec 2011	Sept 2011	Dec 2011	Sept 2011	Dec 2011	Sept 2011
Name of Co.	By Death		By Maturity		By Disability		Medical Aid Claims		Total Gross Claims		Net reinsurance Claims		Net Claims		Surrenders		Annuities		Total Gross Claims	
ZB Life	1,000,927	767,892	59,225	32,221	0	0	0	0	1,060,152	800,113	0	0	1,060,152	800,113	3,426,970	3,145,333	57,136	41,591	4,544,258	3,987,037
Old Mutual	8,340,831	5,418,444	26,294,288	21,525,992	0	0	0		34,635,119	26,944,436	0	0	34,635,119	26,944,436	25,148,602	19,741,115	7,220,381	5,271,237	67,004,102	51,956,788
First Mutual Life	2,200,198	1,928,628	998,436	583,866	0	0	0	0	3,198,634	2,512,494	232,803	145,502	2,965,831	2,366,992	6,217,126	4,696,143	870,030	614,036	10,285,790	7,822,673
Fidelity Life	456,651	427,407	60,826	39,390	0	0	0		517,477	466,797	14,985	0	502,492	466,797	187,570	117,325	134,046	124,941	839,093	709,063
Altfin Life	120,856	262,348	106,670	0	0	0	0		227,526	262,348	0	49,155	227,526	213,193	77,444	510,986	48,130	31,806	353,100	805,140
Evolution Health & Life	467,631	322,147	0	0	0	0	355,556	529,408	823,187	851,555	500,181	376,750	323,006	474,805	0	0	0	0	823,187	851,555
IGI Life	103,535	80,563	1,764	290	0		0		105,299	80,853	14,300	13,521	90,999	67,332	40,750	17,623	0	0	146,039	98,476
CBZ Life	34,912	2,912	0	0	0	0	0		34,912	2,912	0	0	34,912	2,912	0	0	0	0	34,912	2,912
Zimnat Life	1,396,717	1,159,920	1,343,042	853,063	0	0	0	0	2,739,759	2,012,983	0	0	2,739,759	2,012,983	0	0	51,672	37,900	2,791,431	2,050,883
Total	14,122,258	10,370,261	28,864,251	23,034,822	0	0	355,556	529,408	43,342,065	33,934,491	762,269	584,928	42,579,796	33,349,563	35,098,462	28,228,525	8,381,395	6,121,511	86,821,912	68,284,527